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The need for bank reconciliation statement is as follows:

(i) To identify the reasons for the difference between the bank balance as per the cash book and bank balance as per bank statement.

(ii) To identify the delay in the clearance of cheques.

(iii) To ascertain the correct balance of bank column of cash book.

(iv) To discourage the accountants of the business as well as bank from misusing funds.

8.3 Reasons why bank column of cash book and bank statement may differ

The need for reconciliation arises only when there are differences in entries recorded in the cash book and bank statement. Sometimes, the bank balance as per both the records may be the same, but the entries may not match. In such cases also, bank reconciliation statement is to be prepared. But, before preparing the bank reconciliation statement, it is necessary to find out the reasons for the disagreement.

Difference between the two records (bank column of cash book and bank statement) generally occur because of the following reasons:

(i) Timing differences – The different times at which the same items are entered

(ii) Errors in recording - Difference arising due to errors in recording the entries

(i) Timing differences

(a) cheques issued but not yet presented for payment

(b) cheques deposited into bank but not yet credited

(c) bank charges and interest on loan and overdraft

(d) interest and dividends collected by the bank

(e) dishonour of cheques and bills

(f) amount paid by parties directly into the bank

(g) payment made directly by the bank to others

(h) bills collected by the bank on behalf of its customer

(ii) Errors in recording

(a) errors committed in recording the transactions by the business in the cash book

(b) errors committed in recording the transactions by the bank.